

July 03rd, 2026
Week 27
Volume 282, Issue 1242

QUOTE
of the
WEEK

*"It is not the ship so much as the skillful sailing that assures
the prosperous voyage."*

- George William Curtis

Highlights:

- Fleet exits.

The war is over, and the fleet is finally moving. Crude flows through Hormuz exceeded 10 million barrels per day this week under US military coordination, while Lloyd's List counts roughly 550 merchant vessels preparing to exit the Gulf, including some 200 bulk carriers. The central channel remains constrained by an estimated 80 mines, keeping traffic to the northern and southern routes for now, but the direction of travel is no longer theoretical. Tehran continues to decline face-to-face talks with the Americans in Doha. Its cargoes carry no such reservations.

- Oil settles.

Brent has settled near USD 71 per barrel, effectively back at its pre-war level, closing the quarter with its sharpest fall since 2020 after touching USD 126.41 on April 30. Analysts have cut their 2026 forecasts for the first time since the war began, after five consecutive months of raising them, even as US crude inventories have now drawn for twelve straight weeks. The barrel has completed the round trip. The inventory shortage remains. The price has chosen the reopening.

- CPI turns.

Freight has adjusted, but not collapsed. The Baltic Dry Index bounced late to approximately 2,650 on iron ore strength, with Capesize earnings near USD 32,060 per day. The index gained 25% for the quarter and lost 22% for the month, which is the cleanest measure yet of the conflict's afterlife in freight. The war's freight premium outlived the war by exactly one month. It is now fading into a market where the ships that stayed trading through the conflict have fewer reasons to keep doing so.

- Dollar enters.

The dollar has taken the war's place as the basin's moving force. The Indian Rupee gave back part of its recovery to near 95.1, the Bangladeshi Taka eased through the top of its long-held band toward 123.2, and the Turkish Lira set another record low near 46.70. The Pakistani Rupee alone strengthened, breaking below 278, while Pakistan's June CPI turned lower to 11.1%, with prices falling outright on the month. Islamabad's July 1 tax and duty SROs have also quietly shifted the ground beneath Gadani, introducing a local-policy variable just as the external war premium disappears.

The yards now face two queues. One is the visible line of vessels exiting the Gulf. The other is the deferred recycling wave that the war held offshore and the monsoon is still holding from the beaches. The exit queue and the deflating premium govern what will come. The rains and the tide calendar govern when it can land. The ships are moving. The beaches are waiting. The war deferred the wave; the weather now decides its arrival.

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-- MARKET COMMENTARY --

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FLEET EXITS, DOLLAR ENTERS

BANGLADESH

**BAND BREAKS, WAVE NEARS**

Band breaks.

The band that survived one hundred days of war broke up in the third week of peace, to the dollar. USD/BDT eased off the 122.70 floor where it spent the conflict and moved through the upper bound of its long-held 122.74 to 123.18 range, trading toward approximately 123.2 to 123.3 this week, the first breach of the band in either direction since the war opened. The driver is not Chattogram and not Hormuz: it is the broad dollar, with the Dollar Index at its highest in more than a year, US inflation at 4.2%, and markets pricing roughly a 75% chance of a Federal Reserve rate increase by September. The pressure the Taka absorbed from a war next door is now being taken from a central bank an ocean away. Foreign exchange reserves near USD 34.12 billion remain the operative buffer, and the move remains orderly, measured in tenths rather than whole figures. Local steel plate prices eased from the firmer BDT 67,000 level reached late last week to BDT 66,000 by July 3, with the USD equivalent holding near USD 543 per ton on the softer Taka.

Wave nears.

The deferred tonnage wave now has a census. Lloyd's List estimates roughly 550 merchant vessels are preparing to exit the Gulf as the strait normalises, including approximately 200 bulk carriers, 160 tankers, 60 container ships and 10 vehicle carriers, and every unit of ageing tonnage in that queue exits into a freight market whose Capesize premium has unwound and a bunker market priced off USD 71 Brent rather than USD 126. Chattogram's anchorage and delivery list are already showing the early arrivals converting, with the Zamrud and ERGY gas carriers at 28,858 and 31,341 LDT among the largest units delivered during the window, and the Andhika Paramesti sale at USD 460 per LDT two weeks ago still the wave's first executed marker. The Letter of Credit pipeline remains fully permissive, plot capacity is available, and the June 30 to July 3 tide window is running as this issue publishes, with the next window July 14 to 17. The wave is no longer a thesis. It is a list.

Setup holds.

Bangladesh's June CPI from BBS is the operative watch item in the coming days; the April print of 9.04% remains the reference, and the Pakistan June read, which turned lower on the oil collapse, suggests the Taka basket's energy pass-through should begin unwinding on the same mechanics. The structural setup for the second half is unchanged and remains the basin's strongest: full demand, cleared financing, pricing that holds Chattogram at the top of the rankings, and a monsoon that lifts into September just as the counted queue converts into candidates. The band's break at the top costs the mills a few dollars per ton on the import side and hands the breakers a marginally better Taka realisation per dollar of steel. The season still governs the next eight weeks. The list now governs everything after.

NO MARKET SALES REPORTED

INDIA



RUPEE RETREATS, DOLLAR RULES

The rupee has given back its recovery. USD/INR weakened from the six-week best of approximately 94.26 on June 25 to trade near 95.1 to 95.2 this week, surrendering most of the ground gained since the peace was signed, even as Brent held at its pre-war level near USD 71. The Week 26 configuration, in which the rupee was winning the argument it could control and being held back by the one it could not, has resolved in the dollar's favour: the Dollar Index at a more-than-one-year high, US inflation at 4.2%, and roughly 75% odds of a September Federal Reserve hike have overpowered the oil tailwind that should, in isolation, have carried the rupee through 94. The war's pressure on the rupee came through the import bill. The peace's pressure comes through the Fed. The bill was easier to model.

Rupee retreats.

The transmission now runs almost entirely through the capital account. Foreign institutional flows remained mixed through the week, with debt inflows supported by the Reserve Bank of India's bond capital-gains tax removal but equity flows capped by the global rate repricing, and the rupee's June range of roughly 94.3 to 95.3 maps almost precisely onto the dollar's own moves rather than anything domestic. India's June CPI, due mid-month, will be struck against pre-war oil for the first time since February and should extend the 3.48% April calm; the June trade figures, priced off USD 71 Brent rather than USD 107, should materially narrow the petroleum bill. The fundamentals are turning supportive on schedule. The currency is waiting on Washington's inflation problem, not Delhi's.

Dollar rules.

Local steel plate prices at Alang softened from INR 37,200 mid-week to INR 36,700 by July 3, with the USD equivalent easing to approximately USD 385 per ton. India remains the lowest-priced sub-continent destination, with the gap to Pakistan now near USD 310 per LDT at the ton level, the widest of the year, as Gadani's plate holds near USD 700 while Alang's sits below USD 385. The monsoon caps beaching through August, the June 27 to July 5 tide window runs as this issue publishes, and the compliance footprint of more than 110 valid Statements of Compliance positions Alang for the post-monsoon routing of the counted Gulf exit queue. The deferred wave will route on price and compliance. On compliance, Alang leads the basin. On the offered price, it remains the basin's floor. The post-monsoon quarter will price that tension vessel by vessel.

Alang holds.



DUTIES SHIFT, CPI TURNS

Duties shift.

The Federal Budget, which at announcement appeared to leave the metal sector untouched, has clarified itself. With the issuance and implementation of the SROs from July 1, the actual duty changes are now visible: Regulatory Duty on re-rollable and melting scrap has been reduced by 1%, worth approximately PKR 1,000 to 1,500 per metric ton, or roughly USD 3.5 to USD 5.5 at prevailing rates. The larger moves sit in prime products. RD on HR prime imports has been cut by 2.5%, worth approximately PKR 3,500 per ton, or USD 12.5, while the reduction on wire rod imports delivers a saving near PKR 6,000 per ton, or approximately USD 21.50. The ship recycling sector itself received no direct changes. The budget, at announcement, appeared to leave the metals market alone. The SROs, at implementation, confirmed that it had not.

Competition firms.

The transmission to Gadani runs through the product rather than the plot. Cheaper imported scrap applies moderate pressure, with buyers positioned to press for relatively cheaper local material, but the more consequential moves are HR prime and wire rod: at USD 12.5 and USD 21.50 per ton of new duty relief, imported prime product becomes materially more competitive against locally recycled and re-rolled material, sharpening the ceiling over what Gadani's output can command. The sector that received no direct changes in the budget is the one now expecting the pressure. The effect is assessed as moderate rather than significant on the scrap side and more noticeable through the prime channel, and it arrives in the first fiscal week after the wartime Gulf premium finished eroding, making it the opening structural test of Gadani's post-war pricing.

CPI turns.

Pakistan's June CPI eased to 11.1% year-on-year from May's 11.7%, the first annual deceleration since the war opened, and consumer prices fell outright by 0.3% on the month, the first monthly decline of the conflict era, as the Brent collapse fed directly into the domestic fuel complex. Prices in Pakistan fell in the month; the smoke alarm has finally heard about the fire. The Wholesale Price Index slowed to 10.7%, with a 1.2% monthly decline, urban core eased to 8.7%, and the full fiscal year closed at an average of 7.05%, under the government's 7.5% target despite petrol printing a record PKR 458.40 per litre in April. USD/PKR broke below 278 to trade near 277.7 to 278.0, a fresh 2026 best, stronger by roughly 2.1% over twelve months and still the basin's only appreciating currency. Local steel plate held at PKR 195,000 per ton, near USD 696 on the firm rupee, with the Jenny Lucky and Ladonna bulkers the newest arrivals at Gadani. The macro turn is in. The duty structure beneath the plate quote has just moved, and July will measure which force the breakers feel first.

TURKEY

LIRA NEARS 47, PRINT LOOMS



Turkey enters Week 27 with USD/TRY at approximately 46.70, a fresh record extending the slide past the 46.40 reference of last week and touching toward 47 at the intraday extreme, with the lira down roughly 17.3% over twelve months and about 7% year-to-date. The strengthening global dollar that pushed the Rupee back through 95 and the Taka through its band top now compounds a depreciation that was already running on domestic fuel alone. The Central Bank of Turkey held its policy rate at 37% for a third consecutive meeting in June, encouraged by the May monthly inflation print easing to 1.71%, while the effective 40% overnight funding rate continues to tighten. The framework functions. The level, as it has all year, worsens on schedule.

Record extends.

Turkey's June CPI prints July 3, the day this issue publishes, and it is the first reading struck substantially against post-war oil. The May print of 32.61% annual and 1.71% monthly remains the operative read, the year-end forecast range remains suspended with the 24% target nominally intact, and independent estimates continue to track materially above the official series. Brent near USD 71, against USD 107 in mid-May and the USD 126 peak, is the genuine disinflation tailwind the TCMB has waited for all year, and the June and July prints will show whether it can bend an inflation structure still measured in the thirties. The bank stopped forecasting in May. The data resumes speaking tomorrow.

Print looms.

At USD 266 to USD 288 per LDT across vessel types, Aliaga remains structurally uncompetitive for mainstream tonnage, and the counted Gulf exit queue sharpens the point: the roughly 200 bulk carriers preparing to leave the Gulf will route overwhelmingly to the sub-continent on the price differential once the monsoon lifts, while Aliaga's share of the wave will continue to be set by EU regulation and Basel Convention compliance rather than by price. The lira's slide toward 47 firms Turkish offers marginally in dollar terms without bridging a gap measured in hundreds. Turkey occupied a separate market through the war, occupies it through the peace, and will occupy it through the wave.

Niche persists.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 27 of 2026, GMS Market Rankings / Vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Steady	458-463 / LDT	478-483 / LDT	488-493 / LDT
2	Pakistan	Steady	443-448 / LDT	463-468 / LDT	473-478 / LDT
3	India	Steady	418-423 / LDT	438-443 / LDT	448-453 / LDT
4	Turkey	Softening	266-268 / LDT	276-278 / LDT	286-288 / LDT

DID YOU KNOW?

- *Ship recycling carried out at Alang to date has avoided approximately **72.55 million MT of CO₂ emissions**, more than Singapore's entire annual greenhouse gas emissions.*
- ***44.4 billion kWh** of energy saved through ship recycling at Alang is equivalent to roughly **one-third** of Sweden's annual electricity use.*
- ***124.5 million barrels of oil** saved through ship recycling at Alang is equivalent to approximately **three weeks** of India's total oil consumption.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	DELIVERY TIDES
August 15 – Independence Day	June 27 – July 05 July 11 – July 20

BANGLADESH	
BANK HOLIDAYS	DELIVERY TIDES
August 05 - July Uprising Day August 26 - Eid-e-Milad-un-Nabi	July 14 – July 17 July 29 – August 01

BANK HOLIDAYS	
PAKISTAN	TURKEY
August 14 – Independence Day August 25 – Eid Milad-un-Nabi	July 15 - Democracy and National Unity Day

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ALANG - Port Position as of July 03, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
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No new vessels reported.

CHATTOGRAM - Port Position as of July 03, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
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1	Sanwa Fontaine	2,039	Refrigerated Cargo Ship	<i>Delivered July 03</i>
2	Hai Xu	1,870	General Cargo	<i>Delivered July 03</i>
3	Guang Hua 6	1,224	General Cargo	<i>Delivered July 03</i>
4	J Chen	4,200	General Cargo	<i>Arrived July 02</i>
5	Thane	10,160	Wood ChipCarrier	<i>Delivered July 02</i>
6	ERGY	31,341	LNG Tanker	<i>Delivered July 01</i>
7	Pearl 1	5,890	General Cargo	<i>Delivered July 01</i>
8	Irus	28,805	LNG Tanker	<i>Arrived June 30</i>
9	Bao	9,634	Wood ChipCarrier	<i>Arrived June 30</i>
10	Zamrud	28,858	LNG Gas Carrier	<i>Delivered June 30</i>
11	Fu Hai 8	1,461	General Cargo	<i>Arrived June 29</i>
12	Basel Athena	6,316	Multipurpose Cargo	<i>Arrived June 29</i>
13	Neptune Starlight	2,712	General Cargo	<i>Delivered June 29</i>
14	Mai 1	1,844	Tanker	<i>Delivered June 27</i>
15	Xin Hai 18	1,543	General Cargo	<i>Delivered June 25</i>

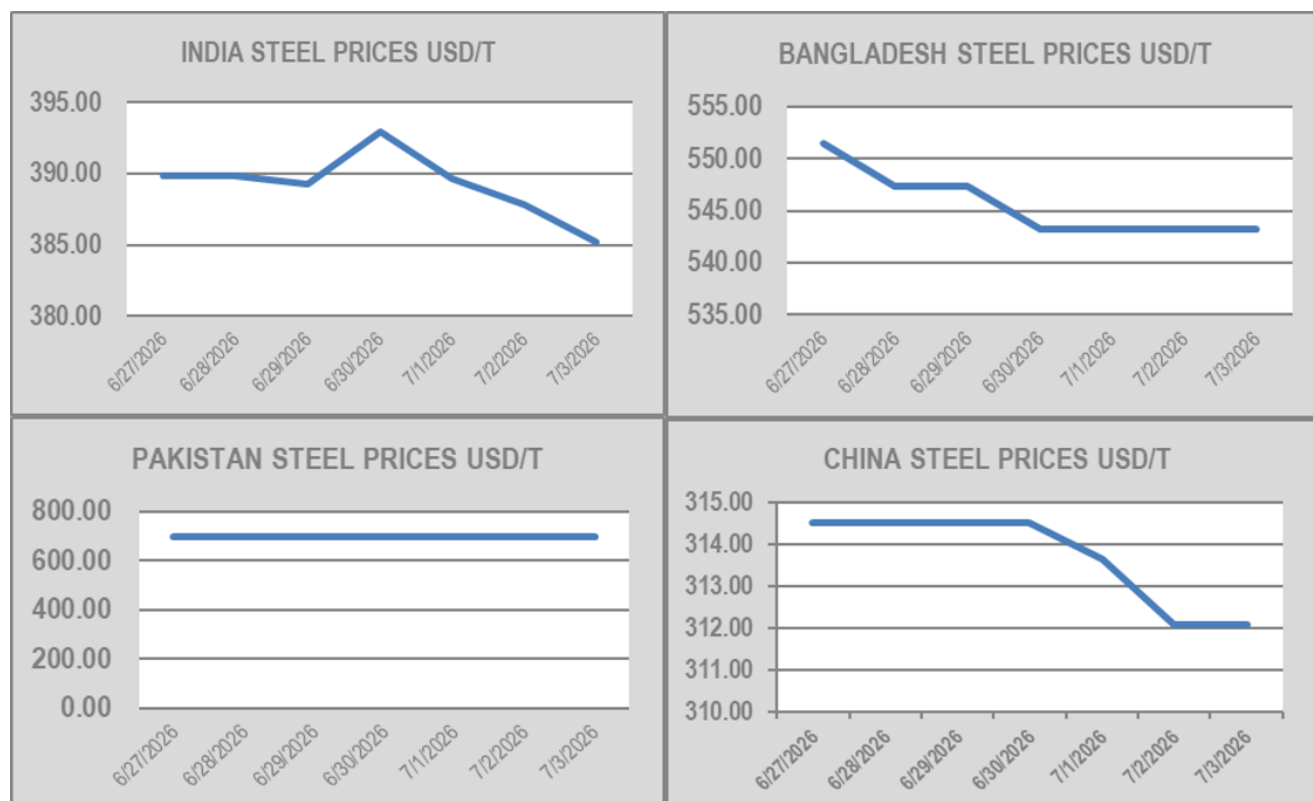
GADANI - Port Position as of July 03, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
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1	Ladonna	5,191	Bulk Carrier	<i>Delivered June 30</i>
2	Jenny Lucky	7,176	Bulk Carrier	<i>Arrived June 21</i>

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DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/27/2026	389.83	36,800.00	696.43	195,000.00	551.44	67,000.00	314.54
6/28/2026	389.83	36,800.00	696.43	195,000.00	547.33	66,500.00	314.54
6/29/2026	389.25	36,800.00	696.43	195,000.00	547.33	66,500.00	314.54
6/30/2026	392.99	37,200.00	696.43	195,000.00	543.21	66,000.00	314.54
7/1/2026	389.62	37,100.00	696.43	195,000.00	543.21	66,000.00	313.66
7/2/2026	387.84	37,000.00	696.43	195,000.00	543.21	66,000.00	312.10
7/3/2026	385.18	36,700.00	696.43	195,000.00	543.21	66,000.00	312.10


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